LINCOLN ELECTRIC HOLDINGS, INC. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF SHAREHOLDERS' EQUITY

(in thousands of dollars, except per share data)	Comm Shares	Additional Paid-in Capital	Retained Earnings	Accumulated Other Comprehensive Income (Loss)	Treasury Shares	Total
Balance January 1, 2000	$4,928	$104,891	$483,463	$ (43,524)	$ (98,243)	$451,515
Comprehensive income						
Net income			78,092			78,092
Minimum pension liability adjustment				(429)		(429)
Currency translation adjustment				(16,035)		(16,035)
Total comprehensive income						61,628
Cash dividends declared — $0.57 per share			(24,157)			(24,157)
Net shares issued under certain benefit plans		2	(127)		645	520
Purchase of shares for treasury					(42,205)	(42,205)
Balance December 31, 2000	4,928	104,893	537,271	(59,988)	(139,803)	447,301
Comprehensive income						
Net income			83,589			83,589
Minimum pension liability adjustment				(514)		(514)
Unrealized gain on derivatives designated and qualified as cash flow hedges, net of tax				226		226
Currency translation adjustment				(6,450)		(6,450)
Total comprehensive income						76,851
Cash dividends declared — $0.60 per share			(25,422)			(25,422)
Net shares issued under certain benefit plans		487	(737)		2,643	2,393
Purchase of shares for treasury					(2,425)	(2,425)
Balance December 31, 2001	4,928	105,380	594,701	(66,726)	(139,585)	498,698
Comprehensive income						
Net income			29,275			29,275
Minimum pension liability adjustment, net of tax of $48,206				(79,697)		(79,697)
Unrealized loss on derivatives designated and qualified as cash flow hedges, net of tax				(246)		(246)
Currency translation adjustment				14,319		14,319
Total comprehensive income (loss)						(36,349)
Cash dividends declared — $0.61 per share			(25,769)			(25,769)
Net shares issued under certain benefit plans		857	(712)		4,018	4,163
Purchase of shares for treasury					(11,590)	(11,590)
Balance December 31, 2002	$4,928	$106,237	$597,495	$(132,350)	$(147,157)	$429,153

See notes to these consolidated financial statements.

LINCOLN ELECTRIC HOLDINGS, INC. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF CASH FLOWS

	Year Ended December 31		
	2002	2001	2000
	(In thousands of dollars)		
OPERATING ACTIVITIES			
Net income	$ 29,275	$ 83,589	$ 78,092
Adjustments to reconcile net income to net cash provided by operating activities:			
Cumulative effect of a change in accounting principle, net of tax	37,607	—	—
Rationalization charges	10,468	—	—
Depreciation and amortization	37,040	36,205	34,712
Deferred income taxes	9,021	16,527	(2,286)
Loss (gain) on sale of fixed assets	476	(2,574)	(520)
Changes in operating assets and liabilities net of effects from acquisitions:			
Decrease (increase) in accounts receivable	8,786	(742)	1,905
Decrease in inventories	6,636	18,653	6,005
Decrease (increase) in other current assets	5,452	2,381	(4,659)
(Decrease) increase in accounts payable	(8,126)	4,647	(4,963)
(Decrease) increase in other current liabilities	(2,032)	(25,495)	12,030
(Decrease) in prepaid pension expense	(21,400)	(12,079)	(7,223)
Gross change in other long-term assets and liabilities	(2,005)	(775)	(305)
Other, net	(7,600)	(136)	8,046
NET CASH PROVIDED BY OPERATING ACTIVITIES	103,598	120,201	120,834
INVESTING ACTIVITIES			
Capital expenditures	(27,909)	(36,723)	(34,800)
Acquisitions of businesses and equity investments	(8,010)	(3,961)	(18,903)
Proceeds from sale of fixed assets	2,052	4,420	1,627
Purchase of marketable securities	(5,015)	(10)	—
Other	391	316	6
NET CASH (USED) BY INVESTING ACTIVITIES	(38,491)	(35,958)	(52,070)
FINANCING ACTIVITIES			
Proceeds from short-term borrowings	3,688	50,542	47,046
Payments on short-term borrowings	(10,926)	(44,299)	(48,972)
Notes payable to banks — net	(7,114)	(35,280)	29,270
Proceeds from long-term borrowings	150,172	71	54,294
Payments on long-term borrowings	(13,661)	(17,410)	(80,266)
Issuance of shares from treasury	3,294	1,891	645
Purchase of shares for treasury	(11,590)	(2,427)	(42,205)
Cash dividends paid	(25,390)	(25,418)	(24,034)
Other	—	(15)	(442)
NET CASH PROVIDED (USED) BY FINANCING ACTIVITIES	88,473	(72,345)	(64,664)
Effect of exchange rate changes on cash and cash equivalents	(997)	276	(1,456)
INCREASE IN CASH AND CASH EQUIVALENTS	152,583	12,174	2,644
Cash and cash equivalents at beginning of year	23,493	11,319	8,675
CASH AND CASH EQUIVALENTS AT END OF YEAR	$176,076	$ 23,493	$ 11,319

See notes to these consolidated financial statements.

NOTE A — SIGNIFICANT ACCOUNTING POLICIES

Principles of Consolidation: The consolidated financial statements include the accounts of Lincoln Electric Holdings, Inc., its wholly-owned and majority-owned subsidiaries and all non-majority owned entities for which it has a controlling interest (the "Company") after elimination of all significant intercompany accounts, transactions and profits. Minority ownership interest in consolidated subsidiaries, which is not material, is recorded in Other long-term liabilities.

Cash Equivalents: The Company considers all highly liquid investments with a maturity of three months or less when purchased to be cash equivalents.

Inventories: Inventories are valued at the lower of cost or market. For domestic inventories, cost is determined principally by the last-in, first-out (LIFO) method, and for non-U.S. inventories, cost is determined by the first-in, first-out (FIFO) method. At December 31, 2002 and 2001, approximately 53% and 57%, respectively, of total inventories were valued using the LIFO method. The excess of current cost over LIFO cost amounted to $39,924 at December 31, 2002 and $39,703 at December 31, 2001.

Equity Investments: Investments in businesses in which the Company does not have a controlling interest and holds between a 20% and 50% ownership interest are accounted for using the equity method of accounting. Under the equity method, the investment is carried at cost plus the Company's proportionate share of the net income or loss of the business since the date of acquisition.

Property, Plant and Equipment: Property, plant and equipment are stated at cost and include improvements which significantly extend the useful lives of existing plant and equipment. Depreciation and amortization are computed by both accelerated and straight-line methods over useful lives ranging from 3 to 20 years for machinery, tools and equipment, and up to 50 years for buildings. Net gains or losses related to asset dispositions are recognized in earnings in the period in which dispositions occur.

Goodwill and Intangibles: Prior to January 1, 2002, the Company amortized goodwill on a straight line basis over periods not exceeding 40 years. Goodwill had previously been tested for impairment under the provisions of Statement of Financial Accounting Standards (SFAS) No. 121, "*Accounting for the Impairment of Long-lived Assets and Long-lived Assets to be Disposed of* ". The Company previously evaluated goodwill for impairment by comparing the unamortized balance of goodwill to projected undiscounted cash flows, which did not indicate an impairment. Effective January 1, 2002, the Company adopted SFAS No. 142, " *Goodwill and Other Intangible Assets*". SFAS No. 142 requires cessation of goodwill amortization and a fair value approach to testing the impairment of goodwill and other intangibles. The Company has performed the required impairment tests of goodwill and indefinite-lived intangible assets as of January 1, 2002. As a result of these impairment tests, including third-party valuations based on acquisition prices of comparable businesses, a non-cash goodwill impairment charge of $37,607 or $0.88 per diluted share, net of tax benefits of $700, has been recorded as a cumulative effect of a change in accounting principle. This non-cash charge was primarily due to weak market conditions in the European region and the Company's expectations of lower financial performance at these reporting units. The Company performed its annual impairment test on October 1, 2002 and determined there was no additional impairment of the remaining goodwill.

NOTE A — SIGNIFICANT ACCOUNTING POLICIES (Continued)

The following table reflects net income adjusted to exclude amortization of goodwill and the cumulative effect of a change in accounting principle, net of tax, in the periods presented:

($000's, except for earnings per share amounts)	For the Year Ended December 31, 2002	2001	2000
Net income, as reported	$29,275	$83,589	$78,092
Add: Goodwill amortization	—	1,648	1,623
Adjusted net income	29,275	85,237	79,715
Add: Cumulative effect of a change in accounting principle, net of tax	37,607	—	—
Adjusted income before the cumulative effect of a change in accounting principle	$66,882	$85,237	$79,715

The following table reflects Earnings Per Share adjusted to exclude amortization of goodwill and the cumulative effect of a change in accounting principle, net of tax, in the periods presented:

	For the Year Ended December 31, 2002	2001	2000
Basic Earnings Per Share:			
Net income, as reported	$0.69	$1.97	$1.83
Add: Goodwill amortization	—	0.04	0.04
Adjusted net income	0.69	2.01	1.87
Add: Cumulative effect of a change in accounting principle, net of tax	0.89	—	—
Adjusted income before the cumulative effect of a change in accounting principle	$1.58	$2.01	$1.87
Diluted Earnings Per Share:			
Net income, as reported	$0.68	$1.96	$1.83
Add: Goodwill amortization	—	0.04	0.04
Adjusted net income	0.68	2.00	1.87
Add: Cumulative effect of a change in accounting principle, net of tax	0.88	—	—
Adjusted income before the cumulative effect of a change in accounting principle	$1.56	$2.00	$1.87

The changes in the carrying amount of net goodwill by segment for the year ended December 31, 2002 are as follows:

	United States	Europe	Other Countries	Consolidated Total
Balance as of January 1, 2002	$ 22,688	$ 17,027	$ 701	$ 40,416
Foreign exchange effect on prior balances		(102)	7	(95)
Goodwill acquired during the period	—	1,982	99	2,081
Impairment loss from adoption of SFAS No. 142	(22,688)	(14,812)	(807)	(38,307)
Balance as of December 31, 2002	$ —	$ 4,095	$ —	$ 4,095

NOTE A — SIGNIFICANT ACCOUNTING POLICIES (Continued)

Gross intangible assets as of December 31, 2002 and 2001 were $21,992 and $12,907, respectively, which included accumulated amortization of $9,238 and $7,060, respectively. Aggregate amortization expense was $1,028, $1,066 and $960 for 2002, 2001 and 2000, respectively.

Estimated annual intangible amortization expense in each of the next five years ending December 31 will be approximately $1,000.

Long-lived Assets: During the first quarter of 2002, the Company adopted SFAS No. 144, "*Accounting for the Impairment or Disposal of Long-Lived Assets*". The Company previously evaluated long-lived assets for impairment under SFAS No. 121. SFAS No. 144 retains the requirements of SFAS No. 121 whereby the carrying value of long-lived assets is reviewed if facts and circumstances indicate a potential impairment of carrying value may have occurred utilizing relevant cash flow and profitability information. Impairment losses are recorded when the undiscounted cash flows estimated to be generated by those assets are less than the assets' carrying amounts. The adoption of this Statement did not have a material impact on the financial statements of the Company.

Product Warranties: The Company accrues for product warranty claims based on historical experience and the expected material and labor costs to provide warranty service. The changes in the carrying amount of Product Warranty reserves for the year ended December 31, 2002 is as follows:

Balance at beginning of period	Charged to costs and expenses	Deductions	Balance at end of period
$6,254	$3,121	$(3,363)	$6,012

Revenue Recognition: The Company recognizes revenue when product is shipped and title is transferred to the customer.

Distribution Costs: Distribution costs, including warehousing and freight related to product shipments, is included in Cost of goods sold.

Stock-Based Compensation: Currently, the Company applies the intrinsic value method permitted under SFAS No. 123, "*Accounting for Stock-Based Compensation*," as defined in Accounting Principles Board ("APB") Opinion No. 25, "*Accounting for Stock Issued to Employees*" and related interpretations, in accounting for the Company's stock option plans. Accordingly, no compensation cost has been recognized in the current or past years.

SFAS No. 123 requires pro forma disclosure of the effect on net income and earnings per share when applying the fair value method of valuing stock-based compensation. The following table sets forth the pro forma disclosure of net income and earnings per share using the Black-Scholes option pricing model. For purposes of this pro forma disclosure, the estimated fair value of the options is amortized ratably over the vesting periods.

	2002		2001		2000	
	Pro Forma	Reported	Pro Forma	Reported	Pro Forma	Reported
Net income	$26,254	$29,275	$81,167	$83,589	$76,413	$78,092
Basic earnings per share	0.62	0.69	1.92	1.97	1.79	1.83
Diluted earnings per share	0.61	0.68	1.90	1.96	1.79	1.83

NOTE A — SIGNIFICANT ACCOUNTING POLICIES (Continued)

Effective January 1, 2003, the Company will adopt the fair value method of recording stock options contained in SFAS No. 123, which is considered the preferable accounting method for stock-based employee compensation. All future employee stock option grants beginning January 1, 2003 will be expensed over the stock option vesting period based on the fair value at the date the options are granted. The Company will elect to expense stock options using the prospective method prescribed in SFAS No. 148, " *Accounting for Stock-Based Compensation — Transition and Disclosure*". The prospective method requires expense to be recognized for new grants or modifications issued beginning in the year of adoption. No expense is recognized in any year for options issued prior to adoption. The Company expects the impact from the adoption of this Statement to be approximately $0.01 per share for 2003. The Company estimates the impact per share would increase annually over the next several years and level off at approximately $0.06 per share by 2006.

Translation of Foreign Currencies: Asset and liability accounts are translated into U.S. dollars using exchange rates in effect at the date of the consolidated balance sheet; revenue and expense accounts are translated at monthly exchange rates. Translation adjustments are reflected as a component of Shareholders' Equity. For subsidiaries operating in highly inflationary economies, both historical and current exchange rates are used in translating balance sheet accounts, and translation adjustments are included in net income.

Transaction gains and losses are included in Selling, general & administrative expenses and were not material.

Financial Instruments: The Company, on a limited basis, uses forward exchange contracts to hedge exposure to exchange rate fluctuations on certain intercompany loans, purchase and sales transactions and other intercompany commitments. Contracts are written on a short-term basis and are not held for trading or speculative purposes.

The Company recognizes derivative instruments as either assets or liabilities in the balance sheets at fair value. The accounting for changes in the fair value of derivative instruments depends on whether it has been designated and qualifies as part of a hedging relationship and further, on the type of hedging relationship.

For derivative instruments that qualify as a fair value hedge (i.e., hedging the exposure to changes in the fair value of an asset or a liability), the gain or loss on the derivative instrument, as well as the offsetting loss or gain on the hedged item attributable to the hedged risk are recognized in earnings. For derivative instruments that qualify as a cash flow hedge (i.e., hedging the exposure to variability in expected future cash flows), the effective portion of the gain or loss on the derivative instrument is reported as a component of Other comprehensive income and reclassified into earnings in the same period or periods during which the hedged transaction affects earnings. Any remaining gain or loss on the derivative instrument is recognized in earnings. The Company does not hedge its net investments in foreign subsidiaries. For derivative instruments not designated as hedges, the gain or loss from changes in their fair values is recognized in earnings.

Research and Development: Research and development costs are expensed as incurred, and totaled $19,150 in 2002, $17,946 in 2001 and $16,604 in 2000.

Estimates: The preparation of financial statements in conformity with accounting principles generally accepted in the United States, requires management to make estimates and assumptions in certain circumstances that affect the amounts reported in the accompanying consolidated financial statements and notes. Actual results could differ from these estimates.

NOTE A — SIGNIFICANT ACCOUNTING POLICIES (Continued)

Earnings per Share: The following table sets forth the computation of basic and diluted earnings per share (dollars and shares in thousands, except per share amounts).

	2002	2001	2000
Numerator:			
Income before the cumulative effect of a change in accounting principle	$ 66,882	$83,589	$78,092
Cumulative effect of a change in accounting principle, net of tax	(37,607)	—	—
Net income	$ 29,275	$83,589	$78,092
Denominator:			
Denominator for basic earnings per share - Weighted-average shares outstanding	42,259	42,375	42,670
Effect of dilutive securities — Employee stock options	540	235	20
Denominator for diluted earnings per share - Adjusted weighted-average shares outstanding	42,799	42,610	42,690
Basic earnings per share			
Income before the cumulative effect of a change in accounting principle	$ 1.58	$ 1.97	$ 1.83
Cumulative effect of a change in accounting principle, net of tax	(0.89)	—	—
Basic earnings per share	$ 0.69	$ 1.97	$ 1.83
Diluted earnings per share			
Income before the cumulative effect of a change in accounting principle	$ 1.56	$ 1.96	$ 1.83
Cumulative effect of a change in accounting principle, net of tax	(0.88)	—	—
Diluted earnings per share	$ 0.68	$ 1.96	$ 1.83

Reclassification: Certain reclassifications have been made to prior-year financial statements to conform to current year classifications.

New Accounting Pronouncements: Effective January 1, 2002, the Company adopted SFAS No. 144, "*Accounting for the Impairment or Disposal of Long-Lived Assets*". SFAS No. 144 supercedes SFAS No. 121, and APB Opinion No. 30, "*Reporting the Results of Operations — Reporting the Effects of Disposal of a Segment of a Business, and Extraordinary, Unusual and Infrequently Occurring Events*". SFAS No. 144 retains the requirements of SFAS No. 121 whereby an impairment loss is recognized if the carrying value of the asset is not recoverable from its undiscounted cash flows or fair values are less than carrying values. SFAS No. 144 broadens the scope of APB Opinion No. 30 provisions for the presentation of discontinued operations to include a component of an entity. The Statement requires a component of an entity sold or considered held for sale be presented as a discontinued operation. In addition, expected future operating losses from discontinued operations must be reflected in the periods incurred, rather than at the measurement date as previously required by APB Opinion No. 30. The adoption of this Statement did not have a material impact on the financial statements of the Company.

NOTE A — SIGNIFICANT ACCOUNTING POLICIES (Continued)

In April 2002, the FASB issued SFAS No. 145, "*Rescission of FASB Statements No. 4, 44 and 64, Amendment of FASB Statement No. 13, and Technical Corrections*". SFAS No. 145 is effective for fiscal years beginning after May 15, 2002. SFAS No. 145 requires that debt extinguishment must meet the criteria under APB Opinion No. 30 to be classified as an extraordinary item. This statement also amends SFAS No. 13 to require sale-leaseback accounting for certain lease modifications that have economic effects similar to sale-leaseback transactions. The Company has not yet determined the impact, if any, this Statement will have on the financial statements of the Company.

In June 2002, the FASB issued SFAS No. 146, *"Accounting for Exit or Disposal Activities*". SFAS No. 146 is effective for disposal activities initiated after December 31, 2002. SFAS No. 146 requires liabilities for one-time termination benefits incurred over future service periods be measured at fair value as of the termination date and recognized over the future service period. This Statement also requires liabilities associated with disposal activities be recorded when incurred instead of when probable as currently required by SFAS No. 5 "*Accounting for Contingencies".* These liabilities should be adjusted for subsequent changes resulting from revisions to either the timing or amount of estimated cash flows, discounted at the original credit-adjusted risk-free rate. Interest on the liability would be accreted and charged to expense as an operating item. The Company has not yet determined the impact, if any, this Statement will have on the financial statements of the Company.

In November 2002, the FASB issued Interpretation No. 45, " *Guarantor's Accounting and Disclosure Requirements for Guarantees, Including Indirect Guarantees of Indebtedness of Others*". Interpretation No. 45 requires certain disclosures to be made by a guarantor in its financial statements about its obligations under certain guarantees, including product warranties. The disclosure provisions of this Statement are effective for the Company as of the fourth quarter of 2002. The Company has made the required disclosures in these financial statements. This Statement also requires a guarantor to recognize, at inception, for all guarantees issued or modified after December 31, 2002, a liability for the fair value of the obligations it has undertaken in issuing a guarantee. The adoption of the fair value provisions of this Statement are not expected to have a material impact on the financial statements of the Company.

In December 2002, the FASB issued SFAS No. 148, "*Accounting for Stock-Based Compensation — Transition and Disclosure*". SFAS No. 148 does not alter the provision of SFAS No. 123, nor does it require stock-based compensation to be measured under the fair-value method. Rather, SFAS No. 148 does provide three alternative transition methods to companies that elect to expense stock-based compensation using the fair-value approach under SFAS No. 123. As mentioned previously, the Company will adopt the fair-value method of recording stock options contained in SFAS No. 123 effective January 1, 2003. The Company will elect to expense stock options using the prospective method prescribed in SFAS No. 148. The prospective method requires expense to be recognized for new grants or modifications issued beginning in the year of adoption. No expense is recognized in any year for options issued prior to adoption. The Company expects the impact from the adoption of this Statement to be approximately $0.01 per share for 2003. The Company estimates the impact per share would increase annually over the next several years and level off at approximately $0.06 per share by 2006.

In December 2002, the Emerging Issues Task Force ("EITF") issued EITF Issue 00-21, " *Accounting for Revenue Arrangements with Multiple Deliverables*". EITF 00-21 provides guidance on determining whether a revenue arrangement contains multiple deliverable items and if so, requires revenue be allocated amongst the different items based on fair value. EITF 00-21 also requires revenue on any item in a revenue arrangement with multiple deliverables not delivered completely must be deferred until delivery of the item is completed. The effective date of this Issue for the Company will be July 1, 2003. The Company has not yet determined the impact, if any, this Statement will have on the financial statements of the Company.

NOTE A — SIGNIFICANT ACCOUNTING POLICIES (Continued)

In January 2003, the FASB issued Interpretation No. 46, "*Consolidation of Variable Interest Entities*". Interpretation No. 46 provides guidance for identifying a controlling interest in a Variable Interest Entity ("VIE") established by means other than voting interests. Interpretation No. 46 also requires consolidation of a VIE by an enterprise that holds such a controlling interest. The effective date for this Interpretation will be July 1, 2003. The Company has not yet determined the impact, if any, this Interpretation will have on the financial statements of the Company.

Other: Included in Selling, general & administrative expenses are the costs related to the Company's discretionary employee bonus, net of hospitalization costs, of $32,218 in 2002, $31,947 in 2001 and $54,509 in 2000.

NOTE B — SHAREHOLDERS' EQUITY

In 1999, the Board of Directors authorized an additional share repurchase program of up to 5,000,000 shares of the Company's outstanding Common Shares to satisfy obligations under its stock option plans. This share repurchase program is in addition to the 5,000,000 shares authorized for repurchase by the Board of Directors in September 1998. The Company purchased 501,330 shares at an average cost of $23.12 per share in 2002, bringing the total shares purchased through December 31, 2002, to 7,740,789 at an average cost of $20.30 per share.

NOTE C — ACCUMULATED OTHER COMPREHENSIVE INCOME (LOSS)

The components of accumulated other comprehensive income (loss) are as follows:

	Minimum Pension Liability Adjustment, net of tax	Currency Translation Adjustment	Unrealized Gain (Loss) on Derivatives Designated and Qualified as Cash Flow Hedges, net of tax	Total Accumulated Other Comprehensive Loss
Balance January 1, 2000	$ (792)	$(42,732)	$ —	$ (43,524)
Other comprehensive (loss)	(429)	(16,035)	—	(16,464)
Balance December 31, 2000	(1,221)	(58,767)	—	(59,988)
Other comprehensive (loss) income	(514)	(6,450)	226	(6,738)
Balance December 31, 2001	(1,735)	(65,217)	226	(66,726)
Other comprehensive (loss) income	(79,697)	14,319	(246)	(65,624)
Balance December 31, 2002	$(81,432)	$(50,898)	$ (20)	$(132,350)

NOTE D — STOCK PLANS

The 1998 Stock Option Plan ("Stock Option Plan") was adopted by the shareholders to replace The Lincoln Electric Company 1988 Incentive Equity Plan ("Incentive Equity Plan") which expired in May 1998. The Stock Option Plan provides for the grant of options for 5,000,000 shares of Company stock to key employees over a ten-year period.

NOTE D — STOCK PLANS (Continued)

The following table summarizes the option activity for the three years ended December 31, 2002, under all Plans:

	2002		2001		2000	
	Options	Weighted-Average Exercise Price	Options	Weighted-Average Exercise Price	Options	Weighted-Average Exercise Price
Balance, beginning of year	2,736,251	$18.12	2,218,793	$16.76	1,567,334	$18.13
Options granted	669,900	$22.97	694,390	$21.65	787,375	$13.60
Options exercised	(222,246)	$15.21	(171,082)	$14.91	(29,876)	$14.08
Options canceled	(4,434)	$19.57	(5,850)	$17.56	(106,040)	$14.36
Balance, end of year	3,179,471	$19.34	2,736,251	$18.12	2,218,793	$16.76
Exercisable at end of year	1,875,464	$18.29	1,430,280	$17.75	1,065,512	$17.82

During 1996, options for 335,180 shares were granted to employees in settlement of a lawsuit over performance awards relating to prior years. Exercise prices are $15.00 and $17.00 per share. These options are exercisable over five- and ten-year periods and are fully vested, non-qualified and non-transferable. At December 31, 2002 and 2001, there were 94,756 and 124,554, respectively, of these options outstanding.

All other options granted under both the Stock Option Plan and the Incentive Equity Plan are outstanding for a term of ten years from the date of grant. The majority of the options granted under both plans vest ratably over a period of three years from the grant date. The exercise prices of all options were equal to the fair market value of the Company's shares at the date of grant. As permitted under SFAS No. 123, the Company has continued to record stock-based compensation in accordance with the intrinsic value method established by APB Opinion No. 25. Under the intrinsic value method, compensation expense is measured as the excess, if any, of the market price at the date of grant over the exercise price of the options. Accordingly, no compensation expense was recognized upon the award of these stock options.

In estimating the fair value of options granted during 2002 for the Stock Option Plan and the Incentive Equity Plan, an expected option life of five years was used based on the Company's historical experience. In prior years, the Company had used ten years as the expected option life. The other weighted-average assumptions were as follows:

	2002	2001	2000
Expected volatility	43.50%	43.13%	42.60%
Dividend yield	2.76%	2.45%	2.90%
Risk-free interest rate	3.60%	5.11%	5.17%
Weighted-average fair value of options granted during the year	$ 7.63	$ 9.52	$ 5.59

The Stock Option Plan for Non-Employee Directors ("Directors Stock Option Plan") was adopted in May 2000 to replace The Lincoln Non-Employee Directors Restricted Stock Plan, which was terminated. The Directors Stock Option Plan provides for the grant of stock options for the purchase of up to an aggregate of 500,000 Common Shares. Options issued under the Directors Stock Option Plan were 30,000 in 2002 and 34,000 in 2001. There were no shares issued in connection with The Lincoln Non-Employee Directors Restricted Stock Plan during 2002 or 2001 and 5,335 in 2000. Forfeitures under the service requirements of the plan were 1,644 in 2000.

NOTE D — STOCK PLANS (Continued)

At December 31, 2002, there were 2,594,535 shares of common stock available for future grant under all plans, and the weighted-average remaining contractual life of outstanding options was 7.6 years. The following table summarizes information about stock options outstanding as of December 31, 2002:

	Outstanding		Exercisable		
Exercise Price Range	Number of Options	Weighted-Average Exercise Price	Number of Options	Weighted-Average Exercise Price	Weighted-Average Remaining Life
$13 - $15	691,148	$13.51	456,397	$13.52	7.4
$15 - $17	164,184	$15.00	164,184	$15.00	3.6
$17 - $19	170,206	$17.40	160,706	$17.39	4.6
$19 - $21	521,542	$19.75	511,708	$19.77	6.5
$21 - $22	849,982	$21.58	263,435	$21.61	9.0
$22 - $24	758,409	$23.03	300,034	$22.41	8.4
$24 - $26	24,000	$25.50	—	—	9.9

The 1995 Lincoln Stock Purchase Plan provides employees the ability to purchase open market shares on a commission-free basis up to a limit of ten thousand dollars annually. Under this plan, 400,000 shares have been authorized to be purchased. There were 53,035, 6,271 and 26,559 shares purchased in 2002, 2001 and 2000, respectively.

NOTE E — RATIONALIZATION CHARGES

During the first quarter of 2002, the Company recorded rationalization charges of $10,468 ($7,045 after-tax), or $0.17 per diluted share. The rationalization charges were principally related to a voluntary retirement program affecting approximately 3% of the Company's U.S. workforce and asset impairment charges. Workforce reduction charges were $5,353, while non-cash asset impairment charges were $5,115.

NOTE F — SHORT-TERM AND LONG-TERM DEBT

At December 31, 2002 and 2001, long-term debt consisted of the following:

	2002	2001
Senior Unsecured Notes due 2007, interest at 5.58%	$ 40,000	$ —
Senior Unsecured Notes due 2009, interest at 5.89%	30,000	—
Senior Unsecured Notes due 2012, interest at 6.36%	80,000	—
8.73% Senior Note due 2003	9,375	18,750
Foreign borrowings due through 2011, interest at 2.3% to 10.0% (2.6% to 12.4% in 2001)	8,409	10,725
Capital leases	5,991	3,891
Other borrowings due through 2023, interest at 2.0% to 7.9%	13,804	4,249
	187,579	37,615
Less current portion	13,433	13,434
Total	$174,146	$24,181

NOTE F — SHORT-TERM AND LONG-TERM DEBT (Continued)

During March 2002, the Company issued Senior Unsecured Notes (the “Notes”) totaling $150,000 through a private placement. The Notes have maturities ranging from five to ten years with a weighted average interest rate of 6.1% and an average tenure of eight years. Interest is payable semi-annually in March and September. The proceeds will be used for general corporate purposes. The Notes contain certain affirmative and negative covenants, including restrictions on asset dispositions and financial covenants (interest coverage and funded debt-to-Earnings Before Interest, Taxes, Depreciation and Amortization (“EBITDA”) ratios). The Notes will not be and have not been registered under the Securities Act of 1933, as amended, and may not be offered or sold in the United States absent registration or an applicable exemption from registration requirements.

During March 2002, the Company entered into floating rate interest rate swap agreements with notional amounts totaling $80 million, to convert a portion of the outstanding Notes from fixed to floating rates based on six-month London Inter-bank Offered Rate (“LIBOR”), plus a spread of between 15.5 and 37.5 basis points. The variable rates are reset every six months, at which time payment or receipt of interest is settled. These swaps were designated as fair value hedges, and as such, the gain or loss on the derivative instrument, as well as the offsetting gain or loss on the hedged item attributable to the hedged risk are recognized in earnings. Net payments or receipts under these agreements are recognized as adjustments to interest expense. The fair value of these swaps at December 31, 2002 was $9,893 and is included in Other assets.

During April 2002, the Company replaced its prior committed revolving credit facility with a new three-year revolving Credit Agreement that provides up to $125,000 in borrowings and expires in April 2005. This Credit Agreement may be used for general corporate purposes. The interest rate on borrowings under the Credit Agreement is based on either the LIBOR plus a spread based on the Company’s leverage ratio or the prime rate, at the Company’s election. A facility fee is payable based upon the daily aggregate amount of commitments. The facility fee is based on the Company’s leverage ratio. The Credit Agreement provides for the issuance of Letters of Credit, subject to limits based on amounts outstanding under the Credit Agreement and is subject to the same covenants as the Notes. As of December 31, 2002, there are no borrowings under the credit agreement.

During April 2002, the Company amended and restated its existing 8.73% Senior Notes due in 2003. The 8.73% Senior Notes were amended and restated so that the affirmative and negative covenants are consistent with the Notes. In addition, the amendment and restatement of the 8.73% Senior Notes added an uncommitted private shelf facility allowing for the issuance of an aggregate of $100,000 of additional senior unsecured notes (the “Shelf Notes”). There were no Shelf Notes issued or outstanding under the private shelf facility as of December 31, 2002.

In addition to committed facilities discussed above, at December 31, 2002, the Company had short-term credit lines in the United States, with uncommitted borrowing capacity of $20,000. Short-term borrowings of foreign subsidiaries, included in Notes payable to banks, were $945 and $13,163 at December 31, 2002 and 2001, at weighted-average interest rates of 9.7% and 8.1%, respectively. At December 31, 2002 and 2001, $13,083 and $7,704 of indebtedness was secured by property, plant and equipment.

Maturities of long-term debt, including payments under capital leases, for the five years succeeding December 31, 2002 are $13,433 in 2003, $3,822 in 2004, $1,817 in 2005, $1,825 in 2006, $46,119 in 2007 and $120,563 thereafter. Total interest paid was $8,343 in 2002, $5,447 in 2001 and $6,957 in 2000.

NOTE G — INCOME TAXES

The components of income before income taxes are as follows:

	2002	2001	2000
U.S	$64,049	$ 96,397	$105,181
Non-U.S	23,894	19,644	16,496
Total	$87,943	$116,041	$121,677

Components of income tax expense (benefit) are as follows:

	2002	2001	2000
Current:			
Federal	$10,687	$10,029	$32,159
Non-U.S	4,116	5,266	9,278
State and local	1,271	614	4,198
	16,074	15,909	45,635
Deferred:			
Federal	2,733	12,700	333
Non-U.S	2,511	1,604	(2,051)
State and local	(257)	2,239	(332)
	4,987	16,543	(2,050)
Total	$21,061	$32,452	$43,585

The differences between total income tax expense and the amount computed by applying the statutory Federal income tax rate to income before income taxes were as follows:

	2002	2001	2000
Statutory rate of 35% applied to pre-tax income	$30,780	$40,614	$42,587
Effect of state and local income taxes, net of Federal tax benefit	569	1,854	2,513
Taxes (less than) in excess of the U.S. tax rate on non-U.S. earnings, including utilization of tax loss carryforwards and losses with no benefit	(1,736)	(5)	1,454
Extraterritorial income exclusion/foreign sales corporation	(1,347)	(5,319)	(1,437)
U.S. tax (benefit) cost of foreign source income	(6,623)	2,136	(95)
Other — net	(582)	(6,828)	(1,437)
Total	$21,061	$32,452	$43,585
Effective tax rate	23.9%	28.0%	35.8%

Total income tax payments, net of refunds, were $9,818 in 2002, $25,404 in 2001 and $35,699 in 2000.

NOTE G — INCOME TAXES (Continued)

Significant components of deferred tax assets and liabilities at December 31, 2002 and 2001, were as follows:

	2002	2001
Deferred tax assets:		
Tax loss and credit carryforwards	$ 19,453	$ 18,245
State income taxes	3,158	2,541
Other accruals	9,075	14,948
Employee benefits	5,753	6,380
Pension obligations	35,766	5,183
Other	20,233	13,884
	93,438	61,181
Valuation allowance	(14,993)	(14,198)
	78,445	46,983
Deferred tax liabilities:		
Property, plant and equipment	(39,096)	(35,338)
Pension obligations	(1,141)	(14,945)
Other	(16,065)	(16,454)
	(56,302)	(66,737)
Total	$ 22,143	$(19,754)

At December 31, 2002, certain non-U.S. subsidiaries had tax loss carryforwards of approximately $53,017 that will expire in various years from 2003 through 2011, except for $28,591 for which there is no expiration date.

The Company does not provide deferred income taxes on unremitted earnings of non-U.S. subsidiaries, as such funds are deemed permanently reinvested. It is not practicable to calculate the deferred taxes associated with the remittance of these investments.

In assessing the realizability of deferred tax assets, the Company assesses whether it is more likely than not that a portion or all of the deferred tax assets will not be realized. The Company considers the scheduled reversal of deferred tax liabilities, projected future taxable income, and tax planning strategies in making this assessment. At December 31, 2002 a valuation allowance of $14,993 relating principally to foreign tax loss and credit carryforwards, has been recorded against these deferred tax assets based on this assessment. The Company believes it is more likely than not that the tax benefit of the net deferred tax assets will be realized. The amount of net deferred tax assets considered realizable could be increased or reduced in the future if the Company’s assessment of future taxable income or tax planning strategies changes.

NOTE H — RETIREMENT ANNUITY AND GUARANTEED CONTINUOUS EMPLOYMENT PLANS

The Company and its subsidiaries maintain a number of defined benefit and defined contribution plans to provide retirement benefits for employees in the U.S., as well as employees outside the U.S. These plans are maintained and contributions are made in accordance with the Employee Retirement Income Security Act of 1974, local statutory law or as determined by the Board of Directors. The plans generally provide benefits based upon years of service and compensation. Pension plans are funded except for a domestic non-qualified pension plan for certain key employees. Substantially all U.S. employees are covered under a 401(k) savings plan in which they may invest 1% or more of eligible compensation, limited to maximum amounts as determined by the Internal Revenue Service. The plan provides for Company matching contributions of 35% of the first 6% of employee compensation contributed to

NOTE H — RETIREMENT ANNUITY AND GUARANTEED CONTINUOUS EMPLOYMENT PLANS (Continued)

the plan. The plan includes a feature in which participants could elect to receive an annual Company contribution of 2% of their base pay in exchange for forfeiting certain benefits under the pension plan.

The changes in the pension plans' benefit obligations were as follows:

	2002	2001
Obligation at January 1	$475,418	$445,634
Service cost	15,018	11,768
Interest cost	33,264	31,783
Participant contributions	773	667
Plan amendments	577	189
Actuarial loss	26,915	10,062
Benefit payments	(25,447)	(23,148)
Currency translation	5,181	(1,537)
Obligation at December 31	$531,699	$475,418

The changes in the fair values of the pension plans' assets were as follows:

	2002	2001
Plan assets at January 1	$428,460	$452,697
Actual return on plan assets	(45,893)	(12,057)
Employer contributions	21,400	12,079
Participant contributions	786	668
Benefit payments	(25,447)	(23,148)
Currency translation	4,774	(1,779)
Plan assets at December 31	$384,080	$428,460

The funded status of the pension plans was as follows:

	2002	2001
Plan assets (less than) projected benefit obligations	$(147,619)	$(46,958)
Unrecognized net loss	178,682	67,594
Unrecognized prior service cost	7,711	8,531
Unrecognized transition assets, net	(476)	(861)
Net amount recognized in the balance sheets	$ 38,298	$ 28,306

The amounts recognized in the consolidated balance sheets was composed of:

	2002	2001
Prepaid pension cost	$ 3,345	$ 38,784
Accrued pension liability	(102,881)	(13,779)
Intangible asset	7,620	1,566
Accumulated other comprehensive income	130,214	1,735
Net amount recognized in the balance sheets	$ 38,298	$ 28,306

NOTE H — RETIREMENT ANNUITY AND GUARANTEED CONTINUOUS EMPLOYMENT PLANS (Continued)

A minimum pension liability adjustment was recorded during the fourth quarter as a liability with a corresponding decrease to shareholders' equity. At December 31, 2002, the Company recorded an after-tax charge to shareholders' equity of $79,697.

The projected benefit obligation, accumulated benefit obligation, and fair value of plan assets for the U.S. pension plans with accumulated benefit obligations in excess of plan assets were $482,943, $439,604 and $346,207, respectively; as of December 31, 2002 and $13,100, $12,863 and $0, respectively as of December 31, 2001. The projected benefit obligation, accumulated benefit obligation, and fair value of plan assets for the non-U.S. pension plans with accumulated benefit obligations in excess of plan assets were $18,455, $17,186 and $11,874, respectively; as of December 31, 2002 and $15,994, $14,842 and $11,953, respectively as of December 31, 2001.

A summary of the components of total pension expense was as follows:

	2002	2001	2000
Service cost — benefits earned during the year	$ 13,393	$ 11,768	$ 12,321
Interest cost on projected benefit obligation	33,264	31,783	31,077
Expected return on plan assets	(37,461)	(40,117)	(40,733)
Amortization of transition asset	(437)	(426)	(436)
Amortization of prior service cost	1,377	1,339	1,177
Amortization of net loss (gain)	340	(21)	(209)
Net pension cost of defined benefit plans	10,476	4,326	3,197
Defined contribution plans	4,387	3,629	2,040
Total pension expense	$ 14,863	$ 7,955	$ 5,237

Weighted-average assumptions used in accounting for the defined benefit plans as of December 31, 2002 and 2001, were as follows:

	2002	2001
Discount rate	6.7%	7.2%
Rate of increase in compensation	4.9%	4.9%
Expected return on plan assets	9.1%	9.1%

The Company anticipates lowering the expected rate of return on plan assets to approximately 8.8% for 2003. U.S. plan assets consist of fixed income and equity securities. Non-U.S. plan assets are invested in non-U.S. insurance contracts and non-U.S. equity and fixed income securities. The Company does not have, and does not provide for, any postretirement or postemployment benefits other than pensions.

The Cleveland, Ohio, area operations have a Guaranteed Continuous Employment Plan covering substantially all employees which, in general, provides that the Company will provide work for at least 75% of every standard work week (presently 40 hours). This plan does not guarantee employment when the Company's ability to continue normal operations is seriously restricted by events beyond the control of the Company. The Company has reserved the right to terminate this plan effective at the end of a calendar year by giving notice of such termination not less than six months prior to the end of such year.

Item 9A: Controls and Procedures

Senior management maintains disclosure controls and procedures that are designed to ensure that information required to be disclosed in our Exchange Act reports is recorded, processed, summarized and reported within the time periods provided in the SEC's rules and forms, and that such information is accumulated and communicated to our management, including the Chief Executive Officer and Chief Financial Officer, as appropriate, to allow timely decisions regarding required disclosure. In designing and evaluating the disclosure controls and procedures, senior management has recognized that any controls and procedures, no matter how well designed and operated, can provide only reasonable assurance of achieving the desired control objectives, and therefore has been required to apply its judgment in evaluating the cost-benefit relationship of possible controls and procedures.

Senior management, including the Chief Executive Officer and Chief Financial Officer, evaluated the effectiveness of the design and operation of our disclosure controls and procedures (as defined in Rule 13(a)-15(e) under the Exchange Act) as of December 31, 2005. Based upon that evaluation, including the effects of the restatement of the Consolidated Statement of Cash Flows as described in Note 1 to the Consolidated Financial Statements, senior management, including the Chief Executive Officer and Chief Financial Officer, concluded that our disclosure controls and procedures were effective on that date. There were no changes made in our internal controls or in other factors that could significantly affect these internal controls subsequent to the date of the evaluation performed by the Chief Executive Officer and Chief Financial Officer.

Management's Report on Internal Control Over Financial Reporting

Our management is responsible for establishing and maintaining adequate internal control over financial reporting, as such term is defined in Exchange Act Rules 13a-15(f). Under the supervision and with the participation of our management, including our chief executive officer and chief financial officer, we conducted an assessment of the effectiveness of our internal control over financial reporting. Our evaluation is based on the framework set forth in *Internal Control – Integrated Framework* issued by the Committee of Sponsoring Organizations of the Treadway Commission. Based on our assessment, our management concluded that our internal control over financial reporting was effective as of December 31, 2005. Our management's assessment of the effectiveness of our internal control over financial reporting as of December 31, 2005 has been audited by KPMG LLP, an independent registered public accounting firm, as stated in their report, which is included herein on page 4.

PART IV

Item 15. Exhibits and Financial Statement Schedules

1. Financial Statements

The following financial statements, the notes thereto, and the independent auditors' report thereon are filed in Part II, Item 8 of this report. See the index to such financial statements at the beginning of Item 8.

Reports of Independent Registered Public Accounting Firm
Consolidated Balance Sheets as of December 31, 2005 and 2004
Consolidated Statements of Income for the Years Ended December 31, 2005, 2004 and 2003
Consolidated Statements of Changes in Shareholders' Equity for the Years Ended December 31, 2005, 2004 and 2003
Consolidated Statements of Cash Flows for the Years Ended December 31, 2005 (Restated), 2004 and 2003
Notes to Consolidated Financial Statements

2. Schedules

All schedules are omitted as the required information is either not applicable or not required or is contained in the respective financial statements or in the notes thereto.

3. Exhibits:

The following exhibits are incorporated by reference herein.

Exhibit Number	**Exhibit**
3.(i)	Certificate of Incorporation of the Registrant, as amended, incorporated herein by reference from the Registrant's Annual Report on Form 10-K for the year ended December 31, 1990, Exhibit 3.(a).
4.1	Shareholder Protection Rights Agreement dated as of May 1, 1997, between Arrow Financial Corporation and Glens Falls National Bank and Trust Company, as Rights Agent, incorporated herein by reference from the Registrant's Statement on Form 8-A, dated May 16, 1997, Exhibit 4.
4.2	Amended and Restated Declaration of the Trust by and among U.S. Bank National Association, as Institutional Trustee, Arrow Financial Corporation, as Sponsor and certain Administrators named therein, dated as of July 23, 2003, relating to Arrow Capital Statutory Trust II, incorporated herein by reference from the Registrant's Quarterly Report on Form 10-Q for the quarter ended September 30, 2003, Exhibit 4.1.
4.3	Indenture between Arrow Financial Corporation, as Issuer, and U.S. Bank National Association, as Trustee, dated as of July 23, 2003, incorporated herein by reference from the Registrant's Quarterly Report on Form 10-Q for the quarter ended September 30, 2003, Exhibit 4.2.
4.4	Placement Agreement by and among Arrow Financial Corporation, Arrow Capital Statutory Trust II and SunTrust Capital Markets, Inc., dated July 23, 2003, incorporated herein by reference from the Registrant's Quarterly Report on Form 10-Q for the quarter ended September 30, 2003, Exhibit 4.3.
4.5	Guarantee Agreement by and between Arrow Financial Corporation and U.S. Bank National Association, dated as of July 23, 2003, incorporated herein by reference from the Registrant's Quarterly Report on Form 10-Q for the quarter ended September 30, 2003, Exhibit 4.4.
4.6	Amended and Restated Trust Agreement by and among Wilmington Trust Company, as Institutional Trustee, Arrow Financial Corporation, as Sponsor and certain Administrators named therein, dated as of December 28, 2004, relating to Arrow Capital Statutory Trust III, incorporated herein by reference from the Registrant's Annual Report on Form 10-K for the year ended December 31, 2004, Exhibit 4.6.
4.7	Junior Subordinated Indenture between Arrow Financial Corporation, as Issuer, and Wilmington Trust Company, as Trustee, dated as of December 28, 2004, incorporated herein by reference from the Registrant's Annual Report on Form 10-K for the year ended December 31, 2004, Exhibit 4.7.
4.8	Placement Agreement by and among Arrow Financial Corporation, Arrow Capital Statutory Trust III and SunTrust Capital Markets, Inc., dated December 28, 2004, incorporated herein by reference from the Registrant's Annual Report on Form 10-K for the year ended December 31, 2004, Exhibit 4.8.
4.9	Guarantee Agreement by and between Arrow Financial Corporation and Wilmington Trust Company, dated as of December 28, 2004, incorporated herein by reference from the Registrant's Annual Report on Form 10-K for the year ended December 31, 2004, Exhibit 4.9.
10.1	Select Executive Retirement Plan of the Registrant effective January 1, 1992 incorporated herein by reference from Registrant's Annual Report on Form 10-K for the year ended December 31, 1992, Exhibit 10(m). *
10.2	1993 Long Term Incentive Plan of the Registrant, incorporated herein by reference from Registrant's 1933 Act Registration Statement on Form S-8, Exhibit 4.1 (File number 33-66192; filed July 19, 1993). *
10.3	1998 Long Term Incentive Plan of the Registrant, incorporated herein by reference from Registrant's 1933 Act Registration Statement on Form S-8, Exhibit 4.1 (File number 333-62719; filed September 2, 1998). *
10.4	Directors Deferred Compensation Plan of Registrant, incorporated herein by reference from Registrant's Annual Report on Form 10-K for the year ended December 31, 1993, Exhibit 10(n).*
10.5	Senior Officers Deferred Compensation Plan of the Registrant, incorporated herein by reference from Registrant's Annual Report on Form 10-K for the year ended December 31, 1993, Exhibit 10(o).*
10.6	Directors Stock Plan of the Registrant, as amended, incorporated herein by reference from Registrant's 1933 Act Registration Statement on Form S-8 (file number 333-110445, filed November 13, 2003).*

government policy, strategic goals of the organization, and developments in society. This requires true alignment with the developments in markets, other countries, and networks. This also implies that public procurement should be an active stakeholder in driving societal change and achieving public value. For instance, by giving social enterprises better opportunities to really participate in public tenders, rather than being socially desirable solutions to lobbying conflicts or other more political aims. Public procurement needs to have an active and more directive role in steering procurement toward specific values and behaviors, rather than executing policies that have been created by others and reacting on institutional demands from the past.

Changing Capabilities and Competences of Procurement Professionals

Developments like digitalization, relational contracting, and sustainable procurement all require organizational routines to change. Organizational routines are rules that allow people to select elements of a repertoire in order to construct sequences of behavior that make sense to others in the organization (Feldman & Pentland, 2003). Introducing change in an organization questions existing routines (and thus behavior) and leads to new practices (new behavior) which, if it becomes embedded in the organization, forms a new organizational routine. For example, circular procurement requires a vastly different approach than the old linear way of procuring; collaborative value-driven procurement requires public procurers to become network managers rather than administrators; and smart procurement requires competence in new ways of information sharing, while the old capabilities and competences, such as operational capabilities and fundamental legal knowledge, are becoming less central. Although more and more procurers and contract managers have begun to recognize their role in contributing to these changes, previous procurement policies and capacity shortages have made several public officers develop risk-averse behavior. Sometimes public procurers and contract managers regard legislation as complicated and, therefore, choose to play it safe to avoid situations where suppliers might appeal a contract award. Even though procurement has been acknowledged as a professional field, it has not necessarily always been classified as a profession. In those instances where it is classified as a profession, it tends to be fragmented across the organization or overlook the impact it can have both internally and externally. The developments in public procurement however require that public procurers and contract managers either change their behavior or the hiring and staff that already have the required capabilities and competences.

Rebalancing the Multiple Perspectives on Public Procurement

Throughout this book we have seen how in the past the financial and legal perspectives have been dominant in public procurement, with a lowest price focus and contractual governance as drivers for the design and implementation of the public procurement system and the political cycle as societal driver of the policy agenda to

EXHIBIT 10(a)

FIRST AMENDMENT TO SECOND AMENDED AND RESTATED LIMITED LIABILITY COMPANY AGREEMENT

OF

ACADIA POWER PARTNERS, LLC

FIRST AMENDMENT TO SECOND AMENDED AND RESTATED LIMITED LIABILITY COMPANY AGREEMENT (this "Amendment"), dated as of August 9, 2005, between Calpine Acadia Holdings, LLC, a Delaware limited liability company ("Calpine"), and Acadia Power Holdings LLC, a Louisiana limited liability company ("Acadia Holdings"), as the sole members of Acadia Power Partners, LLC, a Delaware limited liability company (the "Company").

W I T N E S S E T H :

WHEREAS, Calpine and Acadia Holdings (collectively, the "Members") are parties to the Second Amended and Restated Limited Liability Company Agreement of Acadia Power Partners, LLC, dated as of May 9, 2003 (the "LLC Agreement"); and

WHEREAS, the Members desire to amend certain provisions of the LLC Agreement as set forth below;

NOW, THEREFORE, in consideration of the agreements and obligations described herein and for other good and valuable consideration, the receipt and sufficiency of which are hereby acknowledged, and intending to be legally bound, the Members agree as follows:

1. **Definitions.** Capitalized terms used but not defined herein shall have the meanings given to them in the LLC Agreement.

2. **Amendments to the LLC Agreement.** In accordance with Section 22.2 of the LLC Agreement, the LLC Agreement is hereby amended as set forth below:

2.1. **Article 5 (Joint Development of Project).** A new Section 5.9 is inserted at the end of Article 5 of the LLC Agreement to read in its entirety as follows:

Section 5.9. Interconnection Representative.

5.9.1. Appointment. So long as Calpine Energy is a party to both PPAs and is not in default of either PPA, Calpine shall be the Company's representative with respect to all issues arising out of the Electric Interconnection Agreements, in which capacity Calpine:

(a) shall have the right to make all decisions on behalf of the Company with respect to the matters that require a decision of, or direction from, the Company under either Electric Interconnection Agreement;

(b) may appoint an individual, who may or may not be Calpine's Representative, to have lead responsibility for such issues;

(c) may act as the interface with, and supervise, all third parties performing work related to the Electric Interconnection Agreements;

(d) shall report to the Management Committee (i) as requested regarding the status of matters relating to the Electric Interconnection Agreements and (ii) all major developments relating to the Electric Interconnection Agreements as circumstances warrant;

(e) shall (i) provide to the Management Committee such information and materials as the Management Committee or Acadia Holdings may reasonably request and (ii) allow review by the Management Committee or Acadia Holdings of all material work product;

(f) shall cooperate with the Management Committee in performing such tasks; and

(g) shall not initiate any litigation or take any other action that would obligate the Company to bear any costs or expenses without the prior express written consent of the Management Committee.

5.9.2. Upgrades to Transmission Systems. If Calpine recommends that the Company pay for any upgrade to the transmission system of either Cleco Power or Entergy Gulf States pursuant to an Electric Interconnection Agreement and the Management Committee does not approve such expense, Calpine shall be entitled to agree to such upgrade on behalf of the Company so long as Calpine funds the expense for such upgrade in full. In such event, Calpine shall be entitled (a) to receive the full benefit of any payment, credit or discount received by the Company under such Electric Interconnection Agreement to the extent attributable to Calpine's payment for such upgrade and (b) to assign such benefits to third parties, including Calpine Energy. No such payment shall be considered a Capital Contribution.

2.2. **Article 12 (Distributions).** Section 12 of the LLC Agreement is hereby amended by (a) amending the first sentence of Section 12.1 thereof to be and read as follows:

> During each Fiscal Year within the Priority Period, if the Management Committee determines that the Company has cash available after payment of the Special Distribution, required operating expenses and liabilities of the Company, Reimbursable Member Expenses and Reimbursable Project Management Expenses, the Company shall distribute to Acadia Holdings cash in the amount of the Accumulated Priority Amount and the Priority Amount ("Priority Distributions").

and (b) amending the first sentence of Section 12.3 thereof to be and read as follows:

> If at any time and from time to time (other than in connection with the dissolution and termination of the Company pursuant to Article 15), the Management Committee

determines that the Company has cash available (or may draw on unfunded loan commitments to the extent permitted by the Financing Documents) after payment of the Special Distribution, Priority Distributions, required operating expenses and liabilities of the Company, Reimbursable Member Expenses and Reimbursable Project Management Expenses, the Company shall distribute such available cash, or draw on any unfunded loan commitments to the extent permitted by the Financing Documents, and distribute all or any portion of that excess cash and drawdown funds to the Members Pro Rata, subject to the provisions of the Financing Documents.

2.3. **Appendix A (Glossary of Defined Terms).** Appendix A to the LLC Agreement is hereby amended by (a) amending the definition of "Electric Interconnection Agreements" to be and read as follows:

"**Electric Interconnection Agreements**" means (a) the Amended and Restated Interconnection and Operating Agreement, dated January 4, 2001, between the Company and Entergy Gulf States and (b) the Interconnection and Operating Agreement, made effective July 1, 2001, between Cleco Power and the Company.

and (b) adding, in proper alphabetical order, new definitions of "Cleco Power" and "Entergy Gulf States", which shall be and read as follows:

"**Cleco Power**" means Cleco Power LLC.

"**Entergy Gulf States**" means Entergy Gulf States, Inc., a Texas corporation.

3. **Effectiveness.** The LLC Agreement, as amended hereby, shall continue to be, and shall remain, in full force and effect.

4. **Headings.** The headings of the Sections of this Amendment are included for convenience only and shall not be deemed to constitute a part of this Amendment.

5. **Counterparts.** This Amendment may be executed in any number of separate counterparts, each of which when so executed and delivered shall be deemed an original, but all such counterparts shall together constitute one and the same agreement. All signatures need not be on the same counterpart.

6. **Governing Law.** This Amendment shall be governed by, and construed in accordance with, the laws of the State of Delaware, without reference to the conflict of laws rules thereof that would direct the application of the laws of another jurisdiction.

[Remainder of page intentionally left blank.]

- Providers are required to exhaust all efforts to contact the intended recipient, in a timely manner, within n**inety (90)** days from the check date.
- After the 90-day period, the Provider is required to place a stop payment on those checks and return the funds to DYCD within t**en (10)** days.
- Providers are required to retain all evidence of the steps used to contact the intended recipients.
- Providers are not allowed, at any time, to submit DYCD unclaimed funds to the New York State Office of Unclaimed Funds.

SECTION FOUR: PURCHASING PROCEDURES

GENERAL PROCUREMENT POLICIES

Any procurement of goods and/or services is to be conducted in the Provider's name. The Provider is responsible for ordering, receiving, inspecting, and accepting merchandise. The name of the Department of Youth and Community Development, its officials, employees, or the City of New York must not be used, under any circumstances, for the purpose of ordering and/or securing goods and services from a vendor. Invoices, bills, receipts, etc., must be issued in the name and address of the Provider. All expenditures must comply with applicable laws and contract regulations and are subject to audit.

Purchasing Requirements/Competitive Bidding

The procurement of goods shall be governed by the competitive bidding requirements described below. The purpose of competitive bidding requirements is to establish a procedure that will secure the best possible price for goods and services while allowing for appropriate competition. The procurement process must be open and competitive (that is, no vendor qualified to provide the goods or services may be restricted from bidding and there must be fair competition among those bidders). These procedures also apply to the rental or leasing of equipment. A procurement shall not be artificially divided to meet the requirements of this section. The monetary thresholds identified below refer to payments made, or obligations undertaken in the course of a one (1) year period with respect to any **one (1)** person or entity.

For purchases with a value of **$5,000** or less:

- No competitive bids are required provided the price is determined to be reasonable and prudent.
- Documentation of the purchase must be maintained by the Provider. This documentation must include:
    - The name of the vendor
    - Item purchased
    - Date
    - Amount paid

For purchases from **$5,001 - $25,000**:

- The Contractor shall conduct sufficient market research and/or competition to support its determination that the price of such purchased goods, supplies, services, or equipment is reasonable.
- Documentation of the market research and the purchase must be maintained by the Provider. This documentation must include the name of the entities contacted, the vendor, the item purchased, the date, and amount paid.

For purchases **$25,001 or greater**:

- A minimum of **three (3) written** bids must be obtained for the purchase of goods, supplies, or services of similar items where the cost can reasonably be expected to be $25,001 or greater. The bids must contain:
    - A description of the item requested.
    - Time, date, place, and form of requested responses.
    - Name of the employee responsible for securing bids. The bids must be maintained by the Provider.

Federal Funding Only

As of June 2018, the Federal threshold for purchases increased from $3,500 to **$10,000**. For purchases with a value of **$10,000** or less:

- A purchase may be awarded without soliciting competitive quotations if the provider considers the price to be reasonable.

For purchases **$10,001 or greater**:

- A minimum of **three (3) written** bids must be obtained from three qualified sources.
- The bids must contain:
  - A description of the item requested
  - Time, date, place, and form of requested responses
  - Name of the employee responsible for securing bids. The bids must be maintained by the Provider.

If there is any inconsistency with the information contained in this manual governing federal funds with the Federal Uniform Guidance/OMB Super Circular, then the Super Circular controls.

Sole Source Procurement

Purchases exceeding $5,000 of non-federal funds where a Provider is purchasing items that are considered sole source in nature, do not require bids. Sole source procurements are exceptions to normal purchasing procedures and are permitted only when there is one, and only one, potential bidder or offer for an item or service.

Examples of circumstances that could justify sole source procurements are:

- Newspaper advertisements
- Health and Liability Insurances, Workers Compensation
- Tickets to sporting events or theme parks
- One-time performances by artists for participants
- Utilities (gas, electricity, telephone)

Note: The selection of Consultants and Subcontractors is not subject to a formal bidding process but must demonstrate a prudent and reasonable degree of care.

Proof of Delivery Date

DYCD may require proof of delivery date for goods purchased between June 20th and June 30th.

Inventory

Providers must maintain an inventory of all furniture and equipment purchased with DYCD funds. An inventory control decal must be placed on the equipment indicating that it is the property of New York City.

A physical inventory is required every year, and inventory records must include the date of the last physical inventory review.

Relinquishment or Disposal of Furniture and Equipment

All furniture and equipment purchased with DYCD funds remain the property of the City of New York and must be returned at the end of the contract. Providers must contact their DYCD Program Manager to arrange for the disposition of equipment.

If it is determined that the equipment bought with DYCD funds is fully depreciated and has no further useful value, please notify DYCD in writing, through the **Helpdesk** Budgetandfinancehelp@dycd.nyc.gov. For Audit referral include provider name, ID number (DYCD Contract Number), fiscal year, list of the equipment, serial number(s), model number(s) and purchase date. Providers will receive written notification with specific instructions regarding the disposal of equipment.

Inventory lists must include the method and reasons for disposition and the value of disposed equipment. In cases of loss or theft, property lists must include all pertinent information to support the claim. If appropriate, copies of police reports must be attached.

SECTION FIVE: CREDIT/DEBIT CARDS POLICIES AND PROCEDURES

<u>CREDIT/DEBIT CARDS POLICIES AND PROCEDURES OVERVIEW</u>

Policies and Procedures for Use Credit/Debit Cards

Providers are required to have written policies and procedures to establish an internal control structure for credit/debit card use. These policies and procedures **must** include the following guidelines:

1. A Provider's Board of Directors must first determine whether to approve use of credit or debit cards; once the Provider's Board has approved the use of credit/debit cards, the Board must adopt a comprehensive credit/debit card policy.

2. Credit cards must be established in the name of the Provider and used solely for carrying on the operations of the Provider.

3. Prohibitions on the use of cards to split orders or otherwise circumvent bidding thresholds.

4. Instructions on employee responsibility and written acknowledgements signed by all authorized users; specifying that the safeguard of, and charges appearing on each card, are the responsibility of the cardholder and prohibiting purchases that are personal in nature. Establish custody of the cards when not in use.

5. Procedures for card issuance and cancellation, lost or stolen cards, and employee termination.

6. Set spending and transaction limits for each cardholder both per transaction and monthly. Require preapproval for purchases over those limits.

7. Requires proper documentation for all transactions. Establishes a means to recoup any unauthorized expenditures.

8. Clear guidelines on the appropriate uses of credit cards, including approved and unapproved vendor categories.

9. Guidelines for making purchases by telephone, fax, or internet.

10. Record-keeping requirements, including review and approval processes.

11. Limits the use of staff and/or volunteer personal credit cards for Provider-related purchases to emergency situations (with emergencies to be defined) where standard procurement methods are unfeasible. Such expenditures, moreover, must be consistent with the Provider's purchasing policies and procedures.

12. Limits cash withdrawals/advances to emergency situations (with emergencies to be defined), and requires such withdrawals to be governed by the following rules:
    a. Amount may not exceed $200 per ATM withdrawal.
    b. The Provider's Executive Director or a designee must authorize cash withdrawals. If the Provider's Executive Director is the individual making such cash withdrawals, then the Provider's Executive Director must receive authorization from the Provider Board Chairperson.
    c. When a payment is made with cash from an ATM withdrawal, a receipt from the transaction is filed and maintained in an ATM transaction and cash box (this must be a box kept separate and apart from the petty cash box).
    d. Any cash withdrawn from a credit/debit account that is not utilized in a purchase must be deposited in the ATM transaction and cash box or re-deposited in the agency credit/debit account.
    e. Each expense emanating from an ATM withdrawal must be properly recorded in the Provider's books of account.
    f. The Provider is not allowed to comingle DYCD funds from cash balances related to ATM withdrawals with Non-DYCD funding streams. Separate general ledger accounts must be established to account for DYCD cash balances related to ATM withdrawals.

13. Procedures for transferring paper records to electronic record storage, if applicable.

14. Segregation of duties for payment, accounting, and reconciliation. Periodic audits for card activity and retention of sales receipts and documentation of purchases.

15. The CFO or Comptroller must ensure that a proper review of claims is performed prior to the payment of each credit card statement. This includes requiring that itemized receipts or other similar documents signed by the individual making the purchase adequately support all charges on the statements. In the case of debit card usage, bank statements must be regularly and timely reviewed and checked against supporting documentation.

SECTION SIX: PETTY CASH POLICY

PETTY CASH FUND USE ESTABLISHMENT

Office of Neighborhood Safety (ONS) contracts are exempt from this Policy. Petty Cash policies applicable to Office of Neighborhood Safety (ONS) contracts are described in the next section below.

To facilitate the payment of certain minimal charges that cannot be handled by check, Providers may establish a Petty Cash Fund of up to **$1,500.** It is important to remember that items purchased with Petty Cash Funds are subject to the same regulations and accounting practices as expenses paid by check.

Petty Cash Fund Use

A Petty Cash Fund shall be governed by the following rules:

1. A Petty Cash Expense may not exceed **$250** dollars per total purchase.

2. The Provider's Executive Director or a designee must authorize petty cash expenses in writing.

3. When a cash payment is made from the Petty Cash Fund, a Petty Cash Voucher (see sample on the DYCD's website) together with receipt is placed in the petty cash box.

4. The total of cash remaining in the box plus the total amount of vouchers therein must equal the petty cash fund amount.

5. Each voucher must be supported with a receipt or invoice which shows:

   - The vendor name.
   - Date of purchase.
   - Item purchased.
   - Price per item.
   - Total price for the quantity received.
   - Who made the purchase.

   The custodian may require the purchaser to sign or initial original receipts. Upon receipt of completed information, the petty cash expenditures will be reimbursed by the fund custodian.

6. Each expense from the petty cash voucher must be journalized in the Provider's general ledger to the appropriate expense account with an offsetting entry to the petty cash account.

7. Periodically, when the amount of cash remaining in the box requires replenishment, a check is drawn for the amount of all vouchers in the box. Cash from the check is placed in the petty cash box to replenish the Petty Cash Fund to its full amount. The reimbursement check amount is to be credited to the applicable operating cash account with an offsetting debit to the petty cash general ledger account. A separate Petty Cash Voucher Form must be used for the replenishment of the Petty Cash Fund.

8. A monthly reconciliation of Petty Cash funds with the petty cash general ledger account must be carried out.

9. The Provider is not allowed to commingle DYCD funds used for petty cash. A separate general ledger account must be established to account for DYCD petty cash.

   Examples of reimbursable expenses for which use of pretty cash may be appropriate:
   - Local travel by public transportation
   - Programmatic supplies
   - Postage (The purchase of one hundred stamps will be allowed through petty cash.)

   Examples of non-reimbursable expenses are:
   - Personal expenses
   - Alcoholic beverages for a staff party

Suggested Petty Cash Control Procedures

- In the event the fund custodian has a scheduled absence, a temporary custodian can be assigned by the Executive Director or a designee. The funds must be counted in the presence of the authorized custodian before the leave period begins and again once the custodian returns.

- Unannounced cash counts should be performed quarterly by someone other than the Custodian. The individual should be selected by the Executive Director or a designee, preferably not the same person each quarter. The cash counts should be recorded on an official Cash Count Form. This cash count should always be done in the presence of the Custodian and when completed should be signed by the performer as well as the custodian. Any over/shorts must be reported to the Controller for proper recording and to correct the cash position.

- Where possible, keep the locked petty cash box in a limited-access locked drawer, safe, or file cabinet. Funds must be secured each time the custodian leaves the office. The keys to the box and file cabinet, safe, or drawer should be kept in the possession of the custodian, not left on desks or in the office overnight.

Office of Neighborhood Safety (ONS) Petty Cash Policy

Due to the nature of the services provided under Office of Neighborhood Safety (ONS) contracts, certain emergency participant expenses are allowable which are otherwise not allowable for other DYCD contracts. These emergency participant expenses are expected to be infrequent and only required in the most critical circumstances to prevent loss of life and or an imminent threat of violence.

SECTION SEVEN: GENERATED INCOME

OVERVIEW OF GENERATED INCOME

Income derived by a Provider as a result of resources paid for by the Department of Youth and Community Development is considered Generated Income. Providers engaged in such income generating activities must maintain a monthly report of those activities. These reports must be made available to DYCD for review upon request.

Providers with income generating activities must adhere to the following bookkeeping standards:

1. A separate bank account must be established.
2. All bank documents, such as deposit slips, reconciliations, statements, canceled checks must be properly maintained on file.
3. Signature cards must be properly maintained on file.
4. A separate cash receipts journal must be established to record cash receipts generated.
5. A separate cash disbursement journal must be maintained to record cash expenditures (the cash disbursement journal must be established in a form that reflects the nature of the expense).
6. Supporting documentation for each disbursement recorded in the cash disbursement journal must be properly maintained on file.
7. If appropriate, a general ledger must be maintained to summarize monthly transactions.
8. A monthly trial balance must be taken; and
9. All financial and accounting records relating to income-generating activities must be available for examination and audit by DYCD or its designees upon request.

Grants that a Provider receives from other government sources or foundations are not considered generated income.

SECTION EIGHT: PASSPORT ADVANCES, INVOICES & PAYMENTS

PASSPORT – INVOICES AND PAYMENTS

Cash Flow

The Cash Flow process is initiated following registration of the contract with the New York City Comptroller's Office. DYCD is not permitted to release funds or reimburse a Provider for any expenses incurred for the provision of services until a contract or amendment is registered and an active detailed budget.

Initial Advances

Once the contract is registered and there is detailed Budget, DYCD will initiate and process an initial advance of 25%. A separate initial advance will be issued for each budget code, if there are multiple budget codes listed on your sub-budgets.

Recovery

Initial Advances will be recovered starting with your January Invoices. DYCD will recover 1/6th of the advance from January through June Invoices on a standard 12-month budget operating period. The recovery process can be adjusted based on higher spending levels or shorter budget operating periods. The Advance recovery will appear in PASSPort Invoice under Advances. A Provider will only receive a payment during this period if the invoice amount exceeds the recovery amount. Once all invoices have been submitted, any unrecovered advances will be owed to DYCD.

Loans issued through the Fund for the City of New York will be paid by DYCD through the Advance Request process in PASSPort. This payment is automatically made once your contract is registered. The deduction of outstanding loan amounts from the PASSPort invoice will appear under Recover. This advance and any other will be deducted in full from your upcoming Invoices.

Invoices

The PASSPort Invoice document will be the method of reimbursement for monthly contracted expenses. Providers can manage budgets and invoices, electronically through PASSPort. PASSPort Invoices must be submitted once the contract is registered and there is an approved detailed budget in PASSPort.

Back up Documentation Required

DYCD requires that you submit back up documentation with the submission of your PASSPort Invoices. You will be required to submit the documents below which will need to be uploaded to your PASSPort Invoice at the time of submission. CSBG contracts have an additional requirement see below.

Required Documents When Submitting Invoices

Back-up documentation for Invoice submission can be found here:
https://www1.nyc.gov/site/dycd/involved/funding-and-support/cbo-contract-agency-finance-department-payment-unit.page

1. **Salaries and Wages Justification Details**
   The form will require details for Salaried, Hourly and Seasonal employees (Seasonal Employee details are only required for FY16 and FY17). This form is not to be used for WIOA contracts, see below.

2. **WIOA Salaries and Wages Justification Details**
   Effective 07/01/2020 this form will be required for WIOA contracts. It includes additional information to capture the work experience percentage and work experience claim amounts.

3. **CSBG PASSPort Invoice-Attachment**
   Effective 07/01/2020 this form will be required for CSBG contracts in the following programs areas with the corresponding budget codes listed on the Sub Budgets. It will only be required with the submission of the October, November, and December PASSPort Invoices.

Program Areas	Corresponding CSBG Budget Codes
NDA	**9811/6780/005**
Fatherhood	**9812/6780/005**
Adolescent Literacy	**9813/6780/005**
Services for Immigrant Families	**9814/6780/005**
Literacy NYCALI	**9920/6780/005**

4. **Equipment Purchase Inventory Report**
   The equipment category includes other costs in addition to Equipment Purchase. Please put a note in the comment field of the Invoice if you are allocating expenses other than Equipment Purchase. A Purchase Inventory Report is only required for Equipment Purchase.

   For equipment $500 or more, the following must be provided:
   1. Equipment Amount
   2. Invoice Amount
   3. Item description
   4. Serial number
   5. Model number
   6. Manufacturer
   7. Date Purchase
   8. Delivery Date

   For equipment under $500, the following must be provided:
   1. Equipment Amount
   2. Invoice Amount
   3. Item description
   4. Manufacturer
   5. Date Purchase
   6. Delivery Date

Note:
The Salaries and Wages Justification Details and Equipment Purchase Inventory Reports Forms are available on the DYCD website under *Forms Index*.

General Instructions

The PASSPort Invoices must be prepared on a cash basis. Expenses must be reported for the month in which the check was issued or, in the case of credit or debit cards, the month in which the payment was made. For example, a PASSPort Invoice submitted for the month of October must reflect payments issued in October.

There are circumstances where checks are allowed outside the PASSPort Invoice submission period. During the year end close out, a Provider may have a payroll service period or an invoice service period that crosses Fiscal Years. The prorated portion of that check must be charged to the appropriate Fiscal Year (or budget operating period if the budget ends prior to June 30, 2020). An example of this would be a payroll issued 07/10/20 with a payroll service period of 06/22/20 through 07/03/20. Only June 22nd through June 30th may be reflected on the June-Final Invoice. The remainder of the payroll would be reflected on the July PASSPort Invoice.

Submission Timeline- PASSPort Invoices

Below is the timeline (based on the value of your budget) for the submission of PASSPort once the contract is registered and there is a detailed budget approved.

Annual Contract Budgets of $50,000 or greater

A monthly PASSPort Invoice is required for contracts with annual budgets of $50,000 or greater. Providers must submit their invoices electronically in PASSPort by the 15th day of the following month. **Example:** July Invoices are due by August 15th and are considered late if submitted after the last day of the month.

Annual Contract Budgets $10,001 - $50,000

Contracts in this range have the option of submitting invoices monthly or quarterly in PASSPort. Quarterly reports are due as follows:

July-September	**Submission Date** Oct. 15th, no later than Oct. 31st
October-December	**Submission Date** Jan. 15th, no later than Jan. 31st
January-March	**Submission Date** Apr. 15th, no later than Apr. 30th
April-June	**Submission Date** Jul. 15th, no later than Jul. 31st
Final Invoice	**Submission Date** Due Aug. 31st

Annual Contract Budgets of $10,000 or less

A Provider with a contract of $10,000 or less has the option of submitting invoices monthly, quarterly or one for the full amount in PASSPort.

Non-Reimbursable Expenses

Expenditures for items neither budgeted nor allowable under DYCD Federal, State and City guidelines will not be reimbursed. This list of non-reimbursable expenses below is not comprehensive, and Providers must seek guidance on whether an expense not listed is reimbursable.

The following list of expenses are **not** allowed by DYCD:

1. Expenses outside of the budget operating period are not allowed. This includes payment of back tax obligations.
2. Funds cannot be used for litigation expenses, legal settlements, or legal judgements.
3. Expenditures for items neither budgeted nor allowable under DYCD Federal, State and City guidelines for Providers.
4. Purchase of land and buildings.
5. Real estate taxes are not an allowable expense for DYCD funded contracts unless otherwise approved.
6. Taxes from which municipalities are exempt (Sales Tax, NYS Franchise Tax, Federal Unemployment Tax [FUTA]).
7. Capital improvements, which are defined to mean the erection of substantial structures which are capital in nature, or the valuable additions to or valuable modifications of real estate. This includes expenditures for hard surfacing, cement installations, substantial repairs to a building, basic heating, lighting or sanitary equipment and installation, permanent outdoor lighting systems, fencing (except for partial fencing justified as a safety device), swimming and wading pools, and tennis courts.
8. Personal membership fees in any social, country, dining and lobbying clubs, or professional associations.
9. League franchise fees in the name of an individual.
10. Interest and penalty costs.
11. Overdraft fees are not allowable expenses.
12. Activities for which a provider has already charged a fee to participants.
13. Activities that are normally considered a part of the regular school day.
14. Activities of a commercial nature.
15. Expenditures for pre-paid payroll or consulting services. The date on the check (pay date) must be on or after the period of service.
16. Expenditure for fund raising activities.
17. Expenditures for stipends when used to replace existing staff and/or for the primary purpose of saving money by using low-cost labor, and to avoid paying fringe benefits, or to replace other funding. Special exceptions may be made in advance with approval from DYCD and the Office of Children and Family Services, when no other sources are available, and stipends are critical for the implementation of the program model.
18. Prizes other than inexpensive awards such as trophies, medals, or ribbons.
19. Medical liability insurance and fire insurance on capital structures.
20. Security Deposits.
21. Bonuses - (**Except WIOA)**.
22. Severance payment.
23. Tips and Gratuity.
24. Alcoholic Beverages
25. Bad Debt.
26. Renovation or construction projects costs are not reimbursable costs unless otherwise specified in the contract.
27. Violations and fines are **not** an allowable cost to be paid with funds from DYCD contracts.
28. If federal funds are used, then Entertainment Costs are not reimbursable.
29. Staff personal expenses.
30. Costs that are unallowable under other sections of the Cost Manual must not be allowable solely on the basis that they constitute compensation, such as compensation for indirect personnel performing advertising functions.
31. Costs for workers used to replace existing staff and/or for the primary purpose of saving money by using low-Cost labor, to avoid paying fringe benefits, or to replace other funding. An example of a direct, allowable Compensation Cost – Personnel Services is the salary of an attorney providing legal services to clients under a Contract.

For questions regarding whether an expense is reimbursable, please email the BudgetandFinanceHelp@dycd.nyc.gov.

Payee Information Portal of the City of NY

The Payee Information Portal (PIP) provides assistance for payees or vendors who do business with the City of New York.

Registered vendors can:

- Check payment status.
- Update business information.
- View agreements and invoices from City agencies.
- Enroll for commodity codes to receive solicitations from the City.
- Update and report subcontracts and payments made to subcontractors.
- Download applications forms.

Sub-Contractor Reporting Requirement

If a Provider proposes to engage a Subcontractor on a human service contract, then DYCD requires the Subcontractor to be listed in the City's Payee Information Portal (PIP).

Please visit the PIP website at www.nyc.gov/pip for additional information on this requirement and on how to utilize the PIP system.

Electronic Funds Transfer – EFT (Direct Deposit)

Local Law 43 of 2007 requires any vendor providing the City with services valued at more than $25,000 to enroll in the Vendor Payment Direct Deposit program. DYCD encourages all vendors that do business with the City to enroll in the Direct Deposit program.

Benefits of Direct Deposit ("EFT") Payments

- Electronic payment is safer and more secure. Paper checks can be lost in the mail, stolen, or delivered to the wrong address.
- Receive payments faster. EFT payments are deposited directly into the vendor's bank account.
- Electronic payment records are available online. Use the City's Payee Information Portal (PIP) for current vendor payment records.
- Enroll in the EFT/Direct Deposit program online via the Payee Information Portal (PIP) at nyc.gov/PIP. PIP is now available for vendors to set up a single bank account for all vendor payments made from the New York City Financial Management System (FMS). Both existing and new city vendors can sign up for EFT/Direct Deposit through PIP.
- Existing EFT enabled vendors with a PIP User ID and password can update their bank account information in PIP.
- New vendors doing business with the City of New York can create a new PIP account and vendor code, and then add their bank account information for EFT/Direct Deposit immediately.
- Providers are required to transfer all DYCD funds from the EFT account to the appropriate payroll and general accounts. Bank reconciliation of all accounts must be prepared monthly, reviewed by upper management, and kept on file for examination by DYCD or its designees.

SECTION NINE: YEAR-END CLOSEOUT

YEAR-END CLOSEOUT OVERVIEW

Contract Term

The Provider must perform all contract services and receive all goods and vendor services by the last day of the budgeted operating period. Employer's FICA and New York State Unemployment Insurance (SUI) expenses applicable to salary expenditures incurred and paid through the last day of the contract period must be included. Any expenditure made for goods and services that are received after the last day of the contract/budget period will NOT be accepted as an authorized expenditure. In addition, current year DYCD contract funds cannot be used to pay expenses incurred in a prior contract period (e.g., for payment of back tax debts.) There are no exceptions to this rule.

Deadline for Submission of Final Invoice in PASSPort

The deadline for submission of final invoice in PASSPort is no later than **sixty (60)** days after the end date of the budget operating period. Budgets ending June 30th have a deadline of August 31st.

Provider Refunds Due

Any balance of funds issued by DYCD and not accounted for by an approved expenditure submitted through a PASSPort Invoice, is a refund due to DYCD. Providers must issue a check payable to the NYC Department of Youth and Community Development. The check is to be sent to:
DYCD/APU, **Attention**: *Mr. Erick Nieves 123 William St. 18th Fl. New York NY 10038*

Annual Close Out Notification and Financial Recap Form

DYCD officially starts the Year End Close Out process for budgets ending June 30th in September, since the deadline for Final Invoice submission in PASSPort is August 31st. Once all PASSPort invoices have been processed, Providers must close out their records. Providers will no longer receive a close out letter since all information is available online.

> Providers must verify and reconcile **all** program expenses related to the contract fiscal year with Invoices submitted through PASSPort.

A notification letter will inform the Provider of any amount owed to DYCD. A check for the refund due amount must be issued to DYCD within **ten (10)** days of receipt of the letter. If the refund due amount is not received by that date, then the Provider's contracts will automatically be placed on Check Hold for all future payments from DYCD.

Contracts and amendments not registered will receive an extension from the close out deadline. Submit your PASSPort Invoices once you have been notified of registration. Contracts will be closed out within s**ixty (60)** days of registration.

Reconcile Checks

Verify that all checks were received prior to the Year End close out and notify DYCD of lost checks by e-mailing the **Help Desk** at Budgetandfinancehelp@dycd.nyc.gov. A stop payment will be requested to the Department of Finance and a new check will be issued.

Refund Due - Non-Responsive Notification

If a refund check or Final PASSPort invoice is not submitted in response to the Close Out notification, then the Provider will be referred to DYCD's Office of Legal Affairs for collection. Nonpayment may also result in the Provider being referred for a Caution Rating in the Performance Evaluation (VENDEX). This rating may have a negative impact upon the Provider's ability to secure future funding with DYCD or other City agencies. Providers having a poor Performance Evaluation rating (VENDEX) may also be mandated to use the services of DYCD's Fiscal Agent.

Recoupment Procedures

DYCD reserves the right to offset the amount of funds due DYCD against another contract.

Close Out Procedures for Terminated Providers or Withdrawn Providers

Upon receipt of a termination notice and effective date of termination, the Provider shall comply with all applicable DYCD close out procedures, which include, but are not limited to the following:

- Submit PASSPort invoices for expenditures prior to termination date.
- Return any balance of funds not accounted for by an approved expenditure.
- Comply with guidelines outlined in Section Four of this manual pertaining to Relinquishment of Equipment.
- If assigned a DYCD vehicle, then a Provider will immediately surrender the vehicle to DYCD pursuant to Paragraph 12(C) of the Van License agreement.

Contract Performance Evaluation

DYCD will conduct on-going assessments of Providers' fiscal and programmatic performance. This assessment will be reported on the City of New York's Performance Evaluation System. The Financial portion of each rating is based upon a Provider's ability to submit timely and accurate monthly PASSPort Invoices, the Provider's ability to maintain financial books and records in accordance with generally accepted accounting procedures, and the Provider's capacity to maintain an internal control structure with reasonable assurances that its assets are safeguarded against loss or misuse.

Providers found to be deficient in the conduct of their financial duties may receive poor Performance Evaluation ratings and be mandated to use the services of the Fiscal Agent.

WIOA Year-End Close Out Requirements

A financial report is required **ninety (90)** days after the expiration of a funding period or the termination of a contract as per Title 20 Code of Federal Regulations (CFR) WIOA final rule section 667.300(d).

The Closeout process determines whether all applicable administrative actions and all required work of an award have been completed by the Provider. A timely closeout of the contract is required to be performed after the award has expired.

DYCD requires that Providers submit closeout packages and related documents by the due date, which is **ninety (90) days** after the expiration of a funding period or the termination of an award, whichever comes first. A Closeout Letter with the related Closeout Package is sent to the Provider's Executive Director for completion and submission approximately one month before the due date. The completed Closeout Package with the Provider's related audit report and final PASSPort Invoice must be submitted to the attention of the *Director of Revenue Audit* for review and approval.

SECTION TEN: CENTRAL INSURANCE PROGRAM

HAZMAT USAGE LOG - FOR CONTRACTORS

All HAZMAT containing VOCs or HAPs shall be reported using this HAZMAT Usage Log to comply with Division Newport's Air Emissions Cap Permit, No.1292 and associated regulations.

This log is due monthly, no later than the 10th day of the following month, or promptly at the completion of the project, whichever comes first.

I certify that: (1) All HAZMAT Safety data sheets have been reviewed and approved for use by NUWC Division Newport's Environmental and Safety Branches prior to bringing HAZMAT on the installation. (2) All architectural and industrial coatings (including, but not limited to: paints, primers, enamels, and sealants) shall comply with RIDEM Air Pollution Control Regulation (APCR) No. 33 and the limits listed at §33.7(B). (3) All adhesives must comply with RIDEM's APCR No. 44 and the emission limits listed at §44.7.1 and §44.7.2. (4) Solvents associated with the application or removal of adhesives and sealants must comply with the VOC and Vapor Pressure limits in, APCR No. §44.7(C) and §44.7(D).

SECTION 1: Information

1. Name:	2. Company:	3. Phone Number:
4. Email:		

SECTION 2: Table

	1a. DATE	1b. HAZMAT Name	1c. Product Purpose	1d. Manufacturer Name	1e.VOC Content (lbs./gal)	Gallons Used
X						
X						
X						
X						
X						
X						
X						
X						
X						

ADD

<u>Description of Securities to be registered, page 8</u>

18. We note your disclosure that "the security has the cumulative voting rights." Please revise your disclosure to describe these rights and any conditions precedent to the exercise thereof.

<u>Interests of Named Experts and Counsel, page 9</u>

19. Please revise to include legal counsel.

<u>Description of Business, page 9</u>

20. We note your disclosure that you will use BullionVault System to be the trading vehicle. Please revise your disclosure to provide the brokerage fees and commission.

21. We note your disclosure that "the physical gold and silver will be stored in the professional storages in London, New York, Toronto, Zurich and Singapore." Please revise your disclosure to discuss the regulation of the warehouses, what controls are in place to ensure the commodities are safe, costs of warehousing, and whether the commodities will be insured, e.g., by the warehouse or by you. To the extent you have optional inspection rights, please so state.

<u>Exhibits and Financial Statement Schedules, page 23</u>

<u>Exhibit 5</u>

22. We refer to paragraph 3 where counsel states that it has assumed the legal competence or capacity of persons <u>or entities</u> to complete the execution of document. (Emphasis added). Please have counsel revise the opinion to delete the reference to "entities" or to carve out registrant.

23. We note assumptions (ii), (iii) and (iv) in paragraph 6. Counsel's opinion indicates that "the Registered Securities will be, when sold pursuant to the Prospectus, validly issued…" As such, the assumptions assume away the material facts underlying the opinion. Please have counsel delete these assumptions. Refer to Staff Legal Bulletin 19 (October 14, 2011) for guidance.

24. We note assumption (vii) in paragraph 7. Please have counsel revise the legal opinion to clarify that, as of the date of the opinion, you have a sufficient number of authorized shares.

25. We refer to the penultimate paragraph of the legal opinion where counsel states that "[t]his legal opinion has been prepared for the Company's benefit as an exhibit to the Company's Registration Statement already filed with SEC and may be relied upon by you and <u>by persons</u> entitled to rely upon the same pursuant to the applicable provisions of the

Critical Analysis on Government Contracts: An Introduction

Prof. (Dr.) K.V.S. Sarma
Vice-Chancellor, NLUJA, Assam

Government Contracts are nothing but legal agreements between two governments or between government and a private party. The government may be either central government or state government outlining the terms for provision of goods or services or with reference to immovable property also. Article 298 of Indian Constitution is dealing with Government Contracts. It must be in the format prescribed by Article 299 and in case the agreement is not in the prescribed format, it is not enforceable in the court of law. It stated that the agreement should be entered by the officer of the Government on behalf of Union or State Government and in the name of President of India or Governor of the State. Article 298 of the Indian Constitution of India confers the power to the Union as well as the State to carry out trade, or acquisitions, hold and dispose of property, and further make contracts for any purpose.

Article 299 prescribes the following conditions:

a) The concerned authority should enter the contract as an agent of the president of the union or by the governor of the State.

b) The contract must be in writing.

c) It must be entered on behalf of Union of India or on behalf of any State Government.

d) Agreements must be expressed in writing and executed by a person duly authorized by the President or the Governor on their behalf.

e) President or the Governor cannot be personally held liable for contract, it does not grant immunity to the government from the legal provisions of the contract.

It was held that a Government Contract has to comply with the provisions of Article 299 in addition to the requirements of Indian Contract Act, 1872. The contractual liability of the Government is the same as that of any individual under the ordinary law of the contract. (State of Bihar v. Majeed AIR 1954 SC 245).

When an agreement is not signed in the name of the Governor of a State and the name of the Governor is not mentioned in the deed, it was held that it was not valid and binding on the Government. (Mrs. Aliakutty Paul v. The State of Kerala and Ors AIR 1995 Ker 291).

Reasonableness and Fairness:

Every action of the Government must be informed with reason and should be free from arbitrariness. This is the very essence of the rule of law and its bare minimal requirement. (Roman Dayaram Shetty v. International Airport Authority of India (1979) 3 SCC)

Public Interest:

When an award of contract may not be causing any loss to the public exchequer manifestly, it may still be liable to quash for being unfair, unreasonable, discriminatory and violative of the guarantee contained in Article 14. (Shri Sachindanand Pandey v. State of West Bengal AIR 1987 SC 1109).

Equality, Non-Arbitrariness:

The principle of reasonableness, which legally as well as philosophically, is an essential element of equality or non-arbitrariness pervades Article 14 like a brooding omni-presence and the procedure contemplated by Article 21 must answer the test of reasonableness in order to be in conformity with Article 14. (Menaka Gandhi v. Union of India AIR 1978 SC 597).

Contractual Liability:

Article 299 (2) provides immunity to the President or Governor or any Officer entered into agreement with third party in case of breach of contract by the Government. At the same time it did not provide immunity to the Government. The Government liability is practically the same as that of a private person, subject of course, to any contract to the contrary. (State of Bihar v. Abdul Majid AIR 1954 SC 245)

Government Contract and Section 70 of Indian Contract Act, 1872:

Even though the contract is not in the prescribed format, in case the contract is executed by the third party and the government derives any benefit, the Government is liable to compensate the third party under quasi contracts. The quasi contracts are called implied contracts and these contracts are based on the principles of justice, equity and good conscience and no person should become rich at the cost of others.

Mandatory nature of Article 299:

It is a settled law that Article 299 is a mandatory provision, and not directory one. It was confirmed in number of judgments of the Supreme Court, more specifically specified in State counterparties on our outstanding forward currency exchange contracts, but we do not anticipate nonperformance by any of our counterparties.

We have certain investments in net assets in international locations that are not hedged. These investments are subject to translation gains and losses due to changes in foreign currency exchange rates. For 2011, the strengthening of United States dollar relative to foreign currencies decreased the value of these investments in net assets and the related foreign currency translation adjustment loss in shareholders' equity by $20, to $176 from $196 at December 31, 2010.

Legal and Regulatory Matters

In April 2011 lawsuits brought by Hill-Rom Company, Inc. and affiliated entities against us were filed in the United States District Court for the Western District of Wisconsin and the United States District Court for the Southern District of Indiana. The suits allege infringement under United States patent laws with respect to certain patient handling equipment manufactured and sold by us and seek damages and permanent injunctions. The Wisconsin lawsuit has subsequently been transferred to the United States District Court in Indiana. We intend to vigorously defend ourselves in these matters.

In the third quarter of 2010, we received a subpoena from the United States Department of Justice related to sales, marketing and regulatory matters related to the Stryker PainPump. Also in the third quarter of 2010, we received a subpoena from the United States Department of Justice related to the sales and marketing of the OtisKnee device. These investigations are ongoing.

In March 2010 a shareholder's derivative action complaint against certain of our current and former Directors and Officers was filed in the United States District Court for the Western District of Michigan Southern Division. This lawsuit was brought by the Westchester Putnam Counties Heavy and Highway Laborers Local 60 Benefit Funds and Laborers Local 235 Benefit Funds. The complaint alleges claims for breach of fiduciary duties and gross mismanagement in connection with certain product recalls, United States Food and Drug Administration (FDA) warning letters, government investigations relating to physician compensation and the criminal proceeding brought against our Biotech division. The case has been stayed while a Special Committee of the Board of Directors evaluates the claims.

In January 2010 a purported class action lawsuit against us was filed in the United States District Court for the Southern District of New York on behalf of those who purchased our common stock between January 25, 2007 and November 13, 2008, inclusive. The lawsuit seeks remedies under the Securities Exchange Act of 1934. In May 2010 the lawsuit was transferred to the United States District Court for the Western District of Michigan Southern Division. We are defending ourselves vigorously.

In 2009 a federal grand jury in the District of Massachusetts returned an indictment charging Stryker Biotech LLC and certain then-current employees and a former employee of Stryker Biotech with wire fraud, conspiracy to defraud the FDA, distribution of a misbranded device and false statements to the FDA. In January 2012 Stryker Biotech reached a settlement with the United States Attorney's Office for the District of Massachusetts, under which Stryker pled to one misdemeanor charge and paid a non-tax deductible fine of $15. As a result of this resolution, the Department of Justice dismissed all thirteen felony charges against Stryker Biotech contained in the 2009 federal grand jury indictment. All of the charges against the then-current and former employees of Stryker Biotech have also been dismissed.

In 2007, the United States Department of Health and Human Services, Office of Inspector General (HHS) issued a civil subpoena to us in seeking to determine whether we violated various laws by paying consulting fees and providing other things of value to orthopedic surgeons and healthcare and educational institutions as inducements to use Stryker's orthopedic medical devices in procedures paid for in whole or in part by Medicare. The investigation is ongoing and we have produced numerous documents and other materials to HHS in response to the subpoena.

In 2007 we disclosed that the United States Securities and Exchange Commission (SEC) made an inquiry of us regarding possible violations of the Foreign Corrupt Practices Act in connection with the sale of medical devices in certain foreign countries. Subsequently, in 2008, we received a subpoena from the United States Department of Justice, Criminal Division, requesting certain documents for the period since January 1, 2000 in connection with the SEC inquiry. We are fully cooperating with the United States Department of Justice and the SEC regarding these matters.

ITEM 7A. QUANTITATIVE AND QUALITATIVE DISCLOSURES ABOUT MARKET RISK

Quantitative and qualitative disclosures about market risk are included in the "Results of Operations," “Financial Condition and Liquidity" and "Other Information" sections of Management's Discussion and Analysis of Financial Condition in Item 7 of this report.

Here, the complaint, as verified by the Robotti declaration, specifies numerous false statements in the proxy statement that constitute a blatant violation of the securities laws, including a contract for the sale of land disclosed in the Company's Form 10-Q for the Quarter ended September 30, 2004 which the Company failed to disclose in the Proxy Statement, as well as numerous failures of the Defendants to file Section 13(d) filings disclosing their acting as a group, their significant shareholdings, their plans and their issuing over 20% of the Company's shares to themselves. In addition, Plaintiffs have specified that Defendants have failed to hold annual stockholder meetings in violation of Wyoming corporate law and have violated their fiduciary duties to stockholders by distributing to themselves (in illegal self dealing transactions) Bishop Capital shares in excess of 20% of the current outstanding shares of Bishop's stock.

The misrepresentations and omissions in the Proxy Statement are clearly material as the gross undervaluation of the value of the company is material to the shareholders decision to vote to permit the company to purchase his fractional shares for a pre-split $1.00 per share, in contrast to their fair value which is at least $9.26 per share. In addition, the other misrepresentations are all material to the shareholders decision to vote to permit the company to go private and end public filing with the SEC. *See TSC Industries, Inc. v. Northway, Inc.,* 426 U.S. 438, 449 (1976) (a fact is material under Rule 14a-9 "if there is a substantial likelihood that a reasonable shareholder would consider it important in deciding how to vote. . . . It does not require proof of a substantial likelihood that disclosure of the omitted fact would have caused the reasonable investor to change his vote.).

Accordingly, Plaintiffs have demonstrated a likelihood of success on the merits.

Plaintiffs will be Irreparably Harmed

Plaintiffs will suffer irreparable harm if Defendants are permitted to use their fraudulent proxy statement dated October 29, 2004 to induce shareholders to vote in favor of, and to vote their own shares in favor of, amending the articles of incorporation to permit a going private transaction in which the Company will effect a 1-for-110 reverse stock split of the outstanding shares of its common stock and will pay fractional shareholders only $1 per pre-split share, when the fair value of such shares is at least $9.26 per share. In addition, the reverse stock split and repurchase of fractional shares will cause the Company to have fewer than 300 shareholders which will permit the Board of Directors to cause a Form 15 to be filed with the Securities and Exchange Commission which will permit the Company to cease making its periodic reports, such as quarterly and annual reports, and other filings with the Securities and Exchange Commission. The lack of filings with the Securities and Exchange Commission will substantially reduce the amount of information that shareholders will have to monitor their investment in the Company and management's actions.

Courts Have Not Hesitated To Enjoin Shareholder Meetings
Subject to Fraudulent a Proxy Statement

Courts have not hesitated to grant preliminary injunctions enjoining shareholder meetings where the proxy statement used to solicit proxies contained fraudulent and false information. *See Lebhar Friedman, Inc. v. Movielab, Inc.,* 1987 U.S. Dist. LEXIS 127 (S.D.N.Y. January 12, 1987) (plaintiffs alleged that Proxy Statement falsely omitted report questioning qualifications of directors and the President's salary in violation of Section 14(a); court found that omission was materially misleading and granted a preliminary injunction preventing defendants from taking steps to solicit or vote proxies with respect to the Proxy Statement and requiring that a corrected Proxy Statement be filed prior to the shareholder vote for directors); *Kaufman v. The Cooper Companies, Inc.*, 719 F. Supp. 174 (S.D.N.Y. 1989) (court enjoined annual meeting at which directors were to be elected on grounds that proxies contained stale financial information and omitted to state the reason that two directors had not been nominated for reelection, both in violation of the federal proxy regulations); *The New York City Employees' Retirement System v. American Brands, Inc.*, 634 F. Supp. 1382 (S.D.N.Y. 1986) (court granted preliminary injunction enjoining use of proxy solicitations that illegally omitted shareholder proposal in violation of federal proxy regulations); *Champion Parts Rebuilders, Inc. v. Cormier Corporation*, 661 F. Supp. 825 (N.D. Ill. 1987) (enjoining defendants who violated Section 13(d) disclosure requirements from voting tainted shares); *see also Mills v. Electric Auto-Lite Co.*, 396 U.S. 375 (1970) (upholding private right of action under Section 14(a) but not ruling on injunction as vote went ahead because no temporary restraining order was sought by plaintiffs).

Conclusion

WHEREFORE, Plaintiffs request that this court grant a temporary restraining order and preliminary injunction against Defendants as requested in the order to show cause

Dated: New York, New York
December 3, 2004

Respectfully submitted,

By: S/ William C. Rand

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